higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 4

20 NOVEMBER 2019

This marking guideline consists of 7 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	C
	1.1.2	B
	1.1.3	B
	1.1.4	D
	1.1.5	D
	1.1.6	A
	1.1.7	D
	1.1.8	B
	1.1.9	A
	1.1.10	C

(10 × 1) (10)

1.2	1.2.1	False
	1.2.2	False
	1.2.3	True
	1.2.4	True
	1.2.5	False
	1.2.6	True
	1.2.7	False
	1.2.8	True
	1.2.9	True
	1.2.10	True

(10 × 1) (10)

1.3	1.3.1	I
	1.3.2	G
	1.3.3	H
	1.3.4	A
	1.3.5	C
	1.3.6	L
	1.3.7	F
	1.3.8	K
	1.3.9	J
	1.3.10	E

(10 × 1) (10)
[30]

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QUESTION 2

2.1 Equilibrium price is R40
Equilibrium quantity is 200 (2)

2.2 55
110
165
220
275 (5)

2.3 $\mathcal{E}_s = \frac{\%\triangle Q_s}{\%\triangle P}$ **OR** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$ (2)

2.4
- Price of the product
- Technological improvement
- Prices of related goods
- Prices of inputs (Any 1 × 1) (1)

[10]

TOTAL SECTION A: 40

SECTION B

QUESTION 3

3.1 3.1.1 Unemployment is the number of people who are able to and are actively looking for work, but who are not working.✓✓ This excludes people who have given up looking for jobs.✓ (3)

3.1.2
- Lack of education
- Lack of skills
- Lack of industry-related training
- Economic downturn or recession (4)

3.1.3
- Unemployed people do not have an income to buy goods and services.
- A high unemployment rate means less consumption spending by households.
- Production of goods and services decrease.
- Unemployment negatively affects economic growth.
- Unemployment causes poverty.
- Unemployment causes social and political unrest.
- It increases government spending on social grants. (Any 5 × 2) (10)

3.2 Nominal GDP is the total amount of final goods and services produced, multiplied by their current prices.
Real GDP is the total amount of final goods and services produced, multiplied by their constant prices. (2 × 2) (4)

3.3
- Economic growth
- Poverty alleviation
- Balance of payment stability
- Price stability
- Equitable distribution of income
- Job creation (Any 5 × 1) (5)

3.4
- Gross national income is the income earned by South African citizens✓ working domestically and abroad✓
- minus✓ the income earned by foreigners✓ working in South Africa.

(2 × 2) (4)

3.5
- M1 consists of coins and notes✓ that are in circulation in the economy plus demand deposits. ✓
- M2 consists of M1 money supply✓ plus short-term and medium-term deposits. ✓
- M3 is made up of M2 ✓plus long-term deposits. ✓ (3 × 2) (6)

3.6
- Consumer price index is the index of prices of a representative basket of all goods and services ✓that a typical household purchases. ✓
- Producer price index on the other hand is the index of prices of the intermediate and capital goods✓ that producers or firms purchase in order to produce consumer goods. ✓ (2 × 2) (4)

[40]

QUESTION 4

4.1 4.1.1 Dumping is the sale of goods in a foreign country at a price less than the price at which the same goods are sold in the home country. ✓✓

4.1.2 Ad valorem tariff is a tax that is calculated at a prescribed percentage✓ of the value of the imported goods. ✓

4.1.3 Import quota is the limit ✓of the number or to the quantities of goods that can be imported into the country. ✓

(3 × 2) (6)

4.2 4.2.1 R13,84 × $\frac{0,85}{100}$ ✓ = R0,12✓
R13,84 – R0,12✓ = R13,72✓
Therefore the exchange rate was: $1 = R13,72✓

4.2.2 R13,84 × $\frac{1}{100}$ ✓ = R0,14 ✓
R13,84 + 0,14✓ = R1,98✓
Therefore the new exchange rate is: $1= R13,98✓
(2 × 5) (10)

4.3
- Commercial invoice
- Packing list
- Certificate of origin
- Phytosanitary certificate
- Insurance certificate
- Airway bill (6)

4.4
- Transit risk cover:✓ Protect the exporter against the loss or damage of his goods during transportation of goods to the final destination. ✓
- Export credit insurance:✓ Covers the exporter in the event that he/she does not get paid because of credit risk, political risk or customer becoming insolvent.✓
- Forward exchange contract:✓ Covers the exporter against any exchange rate fluctuations.✓
- Currency options:✓ Covers the exporter against an unfavourable exchange rate fluctuation between the agreement date of the payment and the date the payment is due.✓ (4 × 2) (8)

4.5
- Businesses have to pay more for imports of capital and intermediate goods.
- Production of competitively priced goods decrease.
- Exports become very cheap.
- Local businesses earn less income and therefore less profits.
- Businesses cut back on their use of factors of production, including labour
- Unemployment increases.
- Economic growth declines.
- Business confidence declines. (Any 5 × 2) (10)

[40]

QUESTION 5

5.1
- Cash reserves requirement
- Open-market operations
- Accommodation policy
- Repurchasing rate and inflation (4)

5.2 A market is a place where buyers and sellers meet✓ to buy or sell goods✓ or services at an agreed price.✓ (3)

5.3
- Durable goods,✓ for example cars✓
- Semi-durable goods,✓ for example clothes✓
- Nondurable goods,✓ for example petrol✓ (Any 3 × 2) (6)

5.4
- Applicant:✓ The importer who asks his bank to open a letter of credit so that he/she can import goods from the exporter✓
- Issuing bank:✓ Importer's bank that opens a letter of credit for the importer✓
- Advising bank: ✓ The exporter's bank that informs the exporter about the terms of the letter of credit✓
- Paying or negotiating bank:✓ Exporter's bank that pays the exporter the amount of the letter of credit✓
- Beneficiary:✓ The exporter who receives the payment according to the letter of credit✓ (5 × 2) (10)

5.5
- Sustained reduction of unemployment rate
- Eradication of poverty and inequality
- Promotion of environmental sustainability
- Attainment of sustainable high economic growth
- Providing access to quality basic services to every citizen (5 × 2) (10)

5.6
- International loans
- Factoring
- Bills of exchange
- Promissory notes
- Guarantees
- Letter of credit
- Bank drafts
- Telegraphic transfers (Any 7 × 1) (7)

[40]

QUESTION 6

6.1
- The community needs access to primary health care.
- Law and order is necessary in the community.
- Goods and services must be available to purchase.
- Children need to go to school.
- Community centres, such as churches and recreational areas are necessary. (5 × 2) (10)

6.2
- Development Facilities Act 67 of 1995
- Local Government Municipal Structures Act 117 of 1998
- Local Government Municipal Systems Act 32 of 2000 (3 × 2) (6)

6.3 6.3.1
- Expand South African trade to other countries
- Improve local economies
- Improve local production techniques
- Add value to goods and services produced locally (4 × 2) (8)

6.3.2
- To produce goods at costs which can compete on local and international markets
- To manage resources appropriately, including infrastructure (2 × 2) (4)

6.4 Financial account (1)

6.5
- LED stimulates competition
- LED promotes stable employment
- LED alleviates poverty
- LED increases the profile of successful entrepreneurship
- LED encourages local enterprise and entrepreneurship (5 × 2) (10)

6.6 Formal sector (1)

[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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